

SCIENCE OF PREPAREDNESS KEY TO REPUTATION RESILIENCE

"It takes 20 years to build a reputation and five minutes to ruin it. If you think about that, you'll do things differently." - Warren Buffett



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In today's hyper-connected, always-on business landscape, where every action, or lack thereof, can trigger instant scrutiny from multiple stakeholders, small issues can quickly snowball into a crisis.

No longer limited to geopolitical events, cyberattacks, natural disasters, economic downturns, or regulatory or policy changes or even potential or actual loss of life or serious injury; today, even a careless conversation or a personal choice of a member of the C-suite can hurt a business's credibility. In today's world, crisis is no longer 'if' but 'when'.

The increasingly powerful digital media, steadily scaling self-publishing on social platforms, self-appointed influencers, not to mention closer stakeholder scrutiny, have fundamentally altered the reputation risk landscape, with issues once manageable internally, now spiralling into cross-border crises within minutes. Today, misinformation spreads faster than facts, while expectations around ethics, governance, transparency, and accountability continue to rise.

The foundation of effective crisis preparedness lies in scientifically anticipating potential 'vulnerabilities', their occurrence

probability and the possible impact on corporate stakeholders and the public. While the immediate impact may affect business performance, the long-term often manifests in loss of goodwill, trust and diminished value, eventually leading to reduced share of preference.

Preparedness Begins Before the Crisis Arises

"Risk comes from not knowing what you're doing." - Warren Buffett

Effective crisis management is about being prepared. It requires focused investment and deep expertise to develop, test, and enhance crisis plans well before they are needed. The early stages of the COVID-19 pandemic offered a clear and valuable lesson in the essence of preparedness. When the first warnings emerged, lack of action by various global economies led to the issue turning into a massive crisis, with limited options and resources bringing the majority of the world to a standstill.

In most cases, **a corporate crisis is simply an unaddressed issue that has been allowed to fester.** Being crisis-ready, therefore, requires early identification and continuous monitoring of issues that could pose a threat, be it poor safety norms at the shop floor, repeated disruption of servers of a bank or even leadership getting embroiled in any form of controversial situation.

Building a resilient reputation is not a reactive communications exercise, rather a strategic imperative driven by the Board/C-suite and ingrained into the organisation's overall risk management approach.

Key Steps to Build a Resilient Corporate Reputation

For any organization, of any nature or size, the first step is to **ensure a proper and empowered crisis management structure. This means ensuring that teams, processes, escalation matrix, with defined TATs are 'in-place'.** To put 'in-use' frameworks in place, it is critical that the management games out and stress tests the scenarios to ensure their effectiveness in real situations. In my three decades of experience, companies often fail in this step and struggle to come to

grips with the crisis, when it strikes.

Astrum's crisis specialists help companies put 'in-place' and 'in-use' scientifically tested crisis monitoring and response frameworks that comply with regulations and maintain stakeholder confidence.

Further, in a crisis, 'who' the company talks to and 'how often' matters as much as 'what' it communicates. It is vital to identify and prioritize the key stakeholder engagement as per their interest in the company — employees, customers, investors, regulators, and the wider public — and to ensure they receive precise, timely, and consistent communication. Lucid, fact-based and honest messaging prevents spread of misinformation, reduces speculation, and fosters trust in the management. Acknowledging the problem, even when all the facts may not be available or should not to be disclosed publicly, reflects accountability and helps mitigate reputational damage.

Well before any crisis or an issue, those organisations that have consistently communicated their purpose, demonstrated value-based conduct and fair business practices over time are better positioned to retain stakeholder confidence not only during business as usual but also when things go wrong.

Turning Crisis into Resilience

Preparedness does not end with response. Post-crisis assessment is equally essential to understand what worked, what did not, and how systems, processes, and behaviours can be improved and reinforced. Instilling these learnings into future planning can help transform crisis management from a defensive capability into a bedrock of long-term resilience.

In a world where it takes just a few minutes for a company's reputation to get damaged and rebuilding it all over again may take years, preparedness is the single most important element of resilience. Facing crises is inevitable; to do so with farsightedness, leadership, and discipline, companies can do the right thing, the right way, when it matters most.